

The Board of INDIA Today economists gazes into the crystal ball and predicts what's in store for the economy in 2007-08 and 2008-09



SHANKAR ACHARYA

Member, Board of Governors, ICRIR

"If the US economy really slows down significantly, close to recession, India may be hurt less than China but it will be hurt."

DO YOU SEE A DEMAND CONSTRAINT?

No

CAN GROWTH SURVIVE POLITICS?

Growth will survive but it will be slow due to political uncertainty.

GDP GROWTH

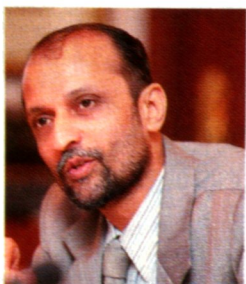
2007-08

8.3

3

9

10



AJIT RANADE

Chief Economist, AV Birla Group

"A stronger rupee impacts exports as well as domestic producers. Wherever there is a substitute, consumers will switch to imports."

No

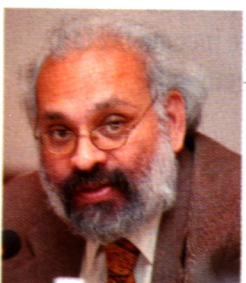
The potential could be 9.5%. We could be growing at 8.5%.

8.7

2.5

9.3

10.5



SUBIR GOKARN

Chief Economist, Standard & Poor's, Asia-Pacific

"A comprehensive agricultural dole is central to any attempt to reform agriculture from the supply side or the demand side."

Yes

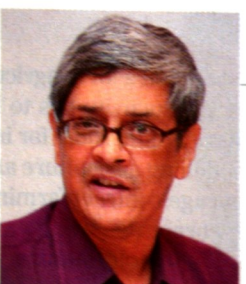
Growth will survive politics but not indefinitely.

7.9- 8.4

3.4

9.2

10



BIBEK DEBROY

Prof. Centre for Policy Research and IMI

"PSUs, the legal structure and lack of investment in health and education together cost the economy over 5.5 per cent of the GDP."

Yes

It would be lower than the potential.

8.5

2

9

10



SIDDHARTHA ROY

Chief Economist, Tata Group

"We need to push labour market reforms before we can shift people from agriculture to labour-intensive manufacturing."

Yes

It will survive, but lower and slower.

8.5

3

9

10

All figures except exchange rate in per cent. * WPI ** 10-year govt. bond *** Rate per dollar